WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

RÉUNION

Africa

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Saint-Denis (north)	Capital and seat of the Prefecture, Région and Département; Roland Garros airport handled a record 2.76 million passengers in 2025	Public services, business services, ICT, aviation
Le Port / Port Réunion (west)	Main commercial port and transhipment hub; record traffic of 6.1 million tonnes in 2025, including 370,433 TEU of containers and 108,120 TEU of transhipment	Logistics, transhipment, ship repair, distribution
Saint-Pierre and the south (CIVIS / CASUD)	Southern urban centre and site of the €400 million Ileva waste-to-energy project, designed to cover about 10% of the island's electricity needs	Energy, circular economy, agro-food, services
West coast (Territoire de l'Ouest)	Main leisure-tourism coast; hotel and collective-accommodation attendance rose 6% year on year in mid-2026	Tourism, hospitality, real estate, nautical activities
East (CIREST: Saint-André, Saint-Benoît)	Sugar-cane and rum belt, home to the Bois-Rouge biomass power complex; water and sanitation are financing priorities	Sugar, rum, agro-processing, biomass energy
ZFANG zones (island-wide)	Tax-free business zone regime with enhanced 80% profit abatements for priority sectors, extended from 2026 to communes in disadvantaged intercommunalities	Industry, tourism, ICT, renewables, agro-food, R&D
Indian Ocean neighbourhood (Mauritius, Mayotte, Madagascar)	Over one million air passengers a year to Indian Ocean destinations make Réunion the EU's regional base for the south-west Indian Ocean	Regional trade, services, training, health, cooperation projects

INVESTOR ENTRY ROUTES

- La Réunion Développement (the regional development agency formerly known as Nexa) offers economic intelligence, project structuring, EU-funding engineering and internationalisation support, working with Team France Invest on investor reception

- Tax-free business zones (ZFANG, article 44 quaterdecies CGI): profit abatements of 50% (capped at €150,000) or 80% for priority sectors (capped at €300,000), plus CFE and property-tax relief, for firms with fewer than 250 staff and turnover under €50 million
- LODEOM exemptions from employer social-security contributions, used by around 50,000 businesses across the overseas departments; a proposed 2026 tightening was rejected by the National Assembly in November 2025
- Overseas productive-investment tax aid (article 199 undecies B CGI) and EU cohesion funding of about €1.4 billion for 2021–2027 (ERDF and ESF+), with the Région as managing authority
- Full French and EU legal framework: the euro is the currency, the IEDOM acts as the Banque de France's local arm, and there are no capital controls or repatriation restrictions
- Public financing partners: AFD and Banque des Territoires have provided more than €3.8 billion of financing in Réunion over five years for housing, water, mobility and the energy transition
- Octroi de mer import-tax regime, a key element of local fiscal autonomy; the European Commission proposed in September 2026 to extend its EU authorisation from end-2027 to 2030

MARKET-ENTRY OBSERVATION

Réunion offers investors a stable, euro-denominated platform with full French and EU legal protection at the gateway between Europe, Africa and the Indian Ocean. Growth strengthened to 1.1% in 2025 from 0.5% in 2024, outpacing mainland France (0.8%), while household disposable income rose 1.5% in real terms and GDP per capita reached about €28,300. Inflation is subdued at 1.4% in 2025 and 1.4% in August 2026, and private-sector employment grew 0.7% in the year to June 2026. Capacity is expanding: Port Réunion handled a record 6.1 million tonnes in 2025, the airport a record 2.76 million passengers, and equipment loans grew 4.2%. Réunion does not publish separate FDI statistics, but policy momentum is clear: the 2026 Finance Law extended enhanced ZFANG tax relief to disadvantaged communes, and in September 2026 the Région launched an attractiveness strategy under its "La Nouvelle Économie" plan, with Team France Invest support and the CEO Summit 2027 to be hosted on the island.

Réunion's main structural challenge is building a broader private, export-capable economy on a small, distant island. Unemployment was about 19% in mid-2026 (8.3% nationally), although well below the 24% of 2018, and the island imported €7.1 billion of goods in 2024 against €413 million of exports. Exposure to cyclones is real — Cyclone Garance in 2025 caused an estimated €400 million of damage — but it is met by French building and insurance frameworks, dedicated climate-adaptation financing and rapid reconstruction support. Mitigation is substantial: ZFANG and LODEOM lower tax and labour costs, EU and French public finance underpins infrastructure, and renewables already supply around 93% of electricity needs, with full energy autonomy targeted for 2030. For investors, the young and available workforce, a 911,000-strong consumer market and the scope to substitute imports with local production are clear opportunities.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Labour-market slack and skills	Unemployment rose to about 19% in mid-2026, more than twice the national rate, although well below the 24% recorded in 2018	LODEOM exemptions and apprenticeships (12,100 in 2026) reduce hiring costs; a large available workforce supports labour-intensive and service projects
Insularity and import dependence	Distance from mainland France and a small domestic market raise input and freight costs; imports far exceed exports	Port Réunion's record capacity and transhipment hub limit logistics costs; import substitution and local processing offer a ready market of 911,000 people
Cyclone and climate exposure	Tropical cyclones are a recurring feature; Cyclone Garance in 2025 caused an estimated €400 million of damage	Build to French cyclone standards, insure comprehensively and tap climate-adaptation financing; reconstruction and resilience create construction and engineering demand
Evolution of overseas incentive regimes	LODEOM, octroi de mer and ZFANG are periodically reviewed; the ZFANG commune list awaited a decree and EU state-aid cover runs to end-2026	Recent reform proposals were rejected or extended, including the octroi de mer to 2030; take local tax advice and model incentives conservatively

Issue	Potential Impact	Possible Mitigation
French public-finance uncertainty	Two in three local businesses report that national budget uncertainty affects activity, and public employment fell 1.1% in the year to June 2026	EU cohesion funds and over €3.8 billion of AFD and Banque des Territoires financing provide a durable pipeline; private employment continues to grow
Housing and construction cycle	Housing starts fell to 4,900 in the year to June 2026, the lowest since the early 2000s	Building permits rose 27% over the same period, pointing to a recovery pipeline for housing, renovation and public-works investors
Health and business-cycle shocks	The 2025 chikungunya epidemic affected one in two businesses, and business failures rose 18% in the year to June 2026	Diversify revenue across sectors and use regional agency and IEDOM business-climate intelligence; tourism and household income continue to grow

INVESTOR RISK NOTE

Réunion's risk profile is that of a French and EU jurisdiction: political, legal, currency and transfer risks are low, contracts are enforced under French law, and the euro removes exchange-rate exposure for euro-area investors. Growth is modest but steady — 1.1% in 2025, above the national rate — and inflation is low. The main considerations are structural and operational rather than sovereign: high unemployment, a small and distant market, cyclone exposure, and the periodic review of overseas incentive schemes such as LODEOM, the octroi de mer and ZFANG. Each is well mitigated: incentive reforms have been moderated by Parliament and the EU, French and EU public finance supports infrastructure and reconstruction, and renewables already cover around 93% of electricity needs. Investors should take local tax advice, insure against cyclone risk, and treat incentives as an upside rather than the sole basis of project economics, while the island's stability, EU standards and regional reach offer a dependable base for long-term investment.

MARKET ACCESS

As a French overseas department and region, Réunion is an outermost region of the European Union, fully within the EU single market and customs union and using the euro, while benefiting from specific EU derogations such as the octroi de mer. Through France, it is covered by WTO membership and EU trade agreements, including the Economic Partnership Agreements with neighbouring Indian Ocean states, and it participates in the Indian Ocean Commission and Interreg Océan Indien cooperation with Mauritius, Madagascar, Seychelles and Comoros. In 2024, exports went to mainland France (37%), Asia (24%), the EU and UK (13%), North America (11%) and Indian Ocean islands (10%), led by fish (29%), sugar (15%) and rum (4%). Port Réunion provides a container and transhipment hub, and air links connect to mainland France (1.63 million passengers in 2025), Mauritius, Mayotte, Madagascar and South Africa, with a new Toulouse route from June 2026.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Préfecture de La Réunion (Prefect Patrice Latron)	Represents the French State and Government on the island, overseeing state services, public investment and crisis management	Primary reference point for state policy, permits and major public projects
La Réunion Développement (formerly Nexa)	Regional development agency for economic intelligence, project structuring, EU-funding engineering and internationalisation; runs the Marque La Réunion	Standard first point of contact for market entry and investor facilitation
IEDOM (Institut d'émission des départements d'outre-mer)	Acts as the Banque de France's arm in the overseas departments, monitoring credit, banking and the business climate	Authoritative source of economic and banking-sector intelligence
Région Réunion (President Huguette Bello)	Leads economic strategy ("La Nouvelle Économie"), the attractiveness strategy and manages ERDF and Interreg	Key partner for co-financing, strategic sectors and regional cooperation

Actor	Why It Matters	Waverley Engagement Angle
	programmes	
Grand Port Maritime de La Réunion (Port Réunion)	State port authority handling a record 6.1 million tonnes in 2025, with a €23.6 million investment programme for 2026	Essential counterpart for logistics, transhipment and port-related investment
AFD and Banque des Territoires	Public financiers with more than €3.8 billion committed in Réunion over five years for housing, water, mobility and energy	Co-financing partners for infrastructure, energy and public-private projects
Ministry for the Overseas (Ministère des Outre-mer)	Shapes national overseas policy, including LODEOM, tax incentives and budget allocations	Relevant for understanding the future of incentive regimes

CURRENT INTERNATIONAL BUSINESS CHANNELS

La Réunion Développement acts as the hub for business networks, running internationalisation missions, sector masterclasses and the Marque La Réunion, and the Région's Comité stratégique de l'internationalisation des entreprises (CoSIE) brings together public and private economic actors. Business France and Team France Invest support investor reception and export promotion in partnership with the Région, while the Chamber of Commerce and Industry (CCI Réunion) and employer federations provide local business liaison. AFD, Banque des Territoires and Bpifrance are the principal public financiers, and the Indian Ocean Commission and Interreg Océan Indien programme open channels to Mauritius, Madagascar, Seychelles and Comoros. The CEO Summit 2027, to be hosted in Réunion, offers a timely platform for networking and deal origination.

INVESTOR PROFILE BEST SUITED

Réunion suits investors seeking a secure, euro-denominated EU base with access to the Indian Ocean and East Africa: renewable-energy and circular-economy investors building on the island's 2030 energy-autonomy goal and waste-to-energy projects; logistics, port-services and ship-repair investors leveraging Port Réunion's transhipment role; tourism and hospitality investors benefiting from rising visitor stays and record air traffic; and agro-food, ICT, video-game and light-industry investors able to use enhanced ZFANG relief. Construction, housing and climate-adaptation specialists will find a strong public-investment pipeline, and firms targeting regional markets can use Réunion as a French-law platform for wider Indian Ocean operations.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage La Réunion Développement and the Région
Open dialogue with the regional development agency and the Région's attractiveness team to identify priority-sector opportunities, sites and co-financing.

STEP 2: Model ZFANG, LODEOM and investment tax aid
Take local tax advice to confirm eligibility for enhanced ZFANG abatements, social-contribution exemptions and overseas investment tax aid, and track 2026–2027 regime reviews.

STEP 3: Explore EU and public co-financing
Approach the ERDF managing authority, AFD, Banque des Territoires and Bpifrance on co-funding for infrastructure, energy and industrial projects.

STEP 4: Build climate resilience into project design
Apply French cyclone building standards, secure appropriate insurance and plan supply chains around Port Réunion's capacity.

STEP 5: Use Réunion as a regional platform
Leverage Indian Ocean Commission and Interreg networks, air links to Mauritius, Mayotte and Madagascar, and the CEO Summit 2027 to develop regional partnerships.